
Introduction to Economics

Class 5 — Competitive markets, demand and supply

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Universitat de Barcelona · Group A6

5 October 2026

Plan for today

Block 1, one more look

Block 2 begins: the metro's price cut

A competitive market

Demand: a curve, a move along it, a shift

Break

Project: the sign-up sheet

Supply: a curve, a move along it, a shift

Both curves on one picture

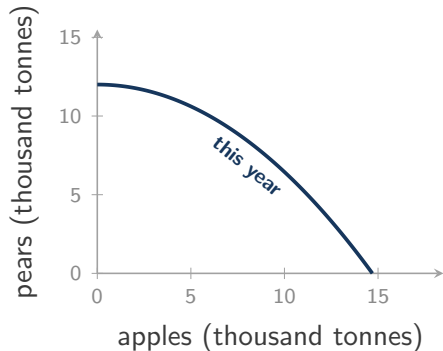
Before Thursday

Block 1, one more look: same cost on both sides

Pau bakes 4 croissants or 2 ensaïmadas an hour; Júlia 8 or 4. Which deal makes both better off?

- A)** Júlia bakes everything: she is faster at both
- B)** Pau sells Júlia ensaïmadas at 1 croissant each
- C)** Pau sells Júlia ensaïmadas at 3 croissants each
- D)** None: an ensaïmada costs both 2 croissants

Block 1, one more look: what moves the frontier?



- 1 A storm flattens half the pear orchards.
- 2 The world price of apples doubles.
- 3 The island grows more pears, fewer apples.
- 4 New irrigation helps both crops.

Two minutes. Which of the four move Thursday's frontier — and how?

Block 2: markets

What sets the price: demand and supply

September 2022: a month of metro for 20 euros, not 40



T-usual, one zone, from 1 September 2022

What did people do?

ATM (Autoritat del Transport Metropolità), fares from 1 September 2022: the T-usual at half price.

Revealed in class

Before class: write down your guess — did journeys go up, and by roughly how much?

A competitive market: many buyers, many sellers, one price

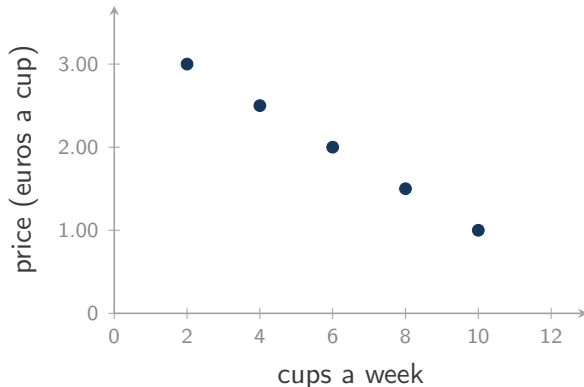
- One good, the same from every seller
- So many buyers and sellers that no one can move the price
- Everyone takes the price as given

Mercabarna's tomatoes: close. The metro: one seller — its buyers still follow a demand curve.

Demand: at each price, how many cups Mireia buys

price (€ a cup)	cups a week
1.00	10
1.50	8
2.00	6
2.50	4
3.00	2

Mireia's demand schedule

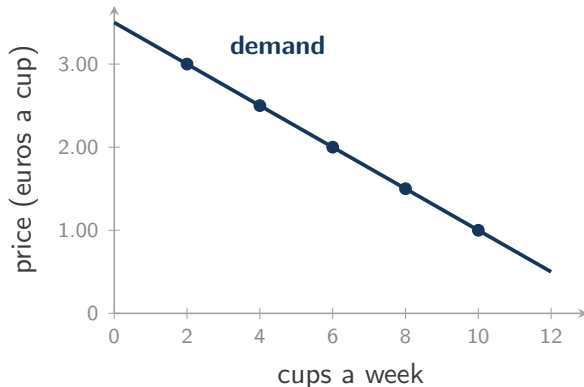


Law of demand: other things equal, the price rises, the quantity demanded falls.

Demand: at each price, how many cups Mireia buys

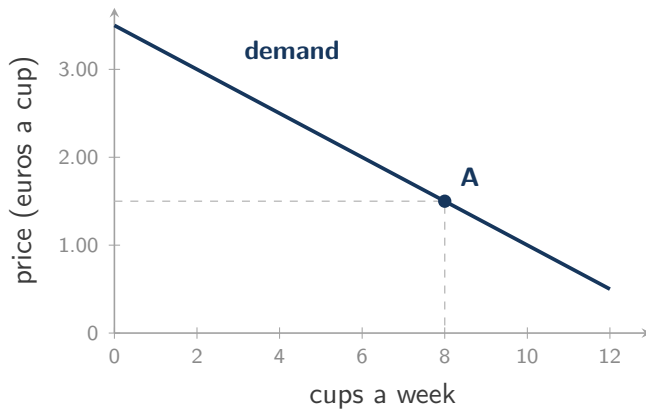
price (€ a cup)	cups a week
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Mireia's demand schedule

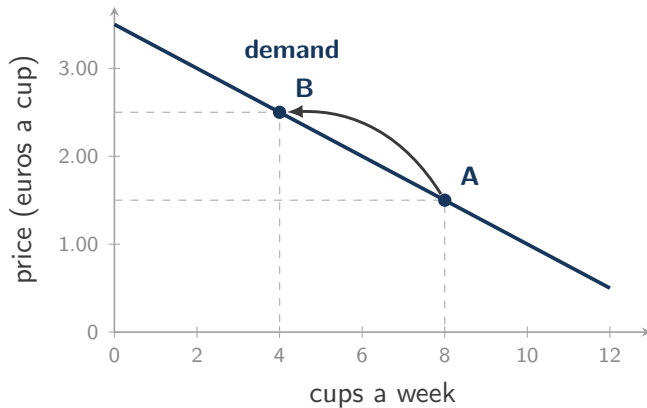


Law of demand: other things equal, the price rises, the quantity demanded falls.

A dearer cup: fewer cups, the same curve

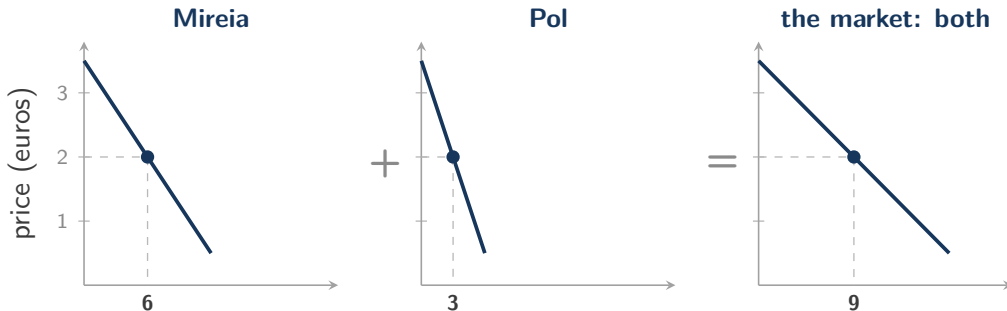


A dearer cup: fewer cups, the same curve



A to B: the quantity demanded fell from 8 to 4. The curve — demand — did not move.

Market demand: at each price, add the buyers up



At 2 euros, Mireia 6 + Pol 3 = 9 a week: the buyers' curves added sideways.

In pairs: add up the market

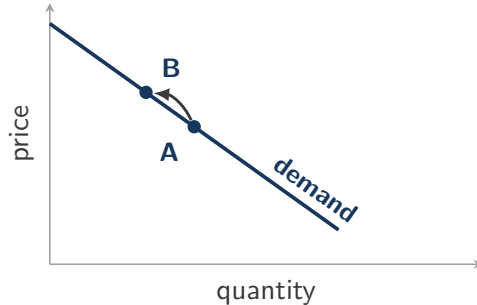
Three buyers of cups a week. Fill the last column; then the question.

price	Ona	Biel	Roser	the market
1.00	6	4	5	
1.50	5	3	4	
2.00	4	2	3	
2.50	3	1	2	

The bar raises the price from 1.50 to 2.00: a move along the market curve, or a shift of it?

Three minutes.

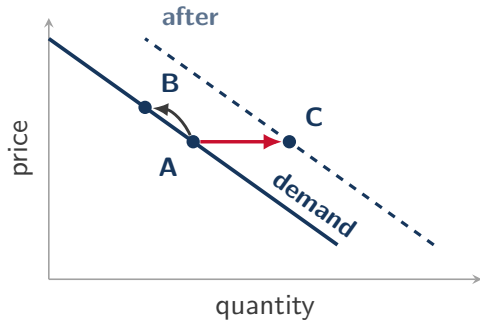
Price moves you along the curve. All else moves the curve.



A → B

a move along the curve:
the price changed

Price moves you along the curve. All else moves the curve.



A → B

a move along the curve:
the price changed

A → C

the curve moved:
something else changed

Along the curve: the **quantity demanded** changes. A shift: **demand** changes.

What moves the demand curve

- **Income** rises: normal goods up, inferior goods down
- Price of a **substitute**: tea dearer, more coffee
- Price of a **complement**: croissants dearer, less coffee
- **Tastes** and **expectations**
- The **number of buyers**

Right: more wanted at every price. Left: less at every price.

In pairs: demand for metro journeys — along the curve, or a shift?

- 1 The T-usual drops from 40 to 20 euros.
- 2 Offices reopen after Covid.
- 3 Petrol gets dearer.
- 4 Taxis get cheaper.
- 5 Cycling to work becomes the fashion.

Three minutes. A move along the curve or a shift — and which way?

Revealed in class

From September 2022 the monthly pass, the T-usual, cost half its old price;
in 2023 the ten-ride ticket, the T-casual, was back at its old price.
Before class: for each ticket, a move along its demand curve, or a shift of it?

Break

Ten minutes

Project: sign up for your idea meeting

- The sheet goes round now: one slot per group, six minutes
- Thursday 8 October, right after class
- The day before your slot: your idea in one paragraph, by e-mail
- Full brief on the course page



course page

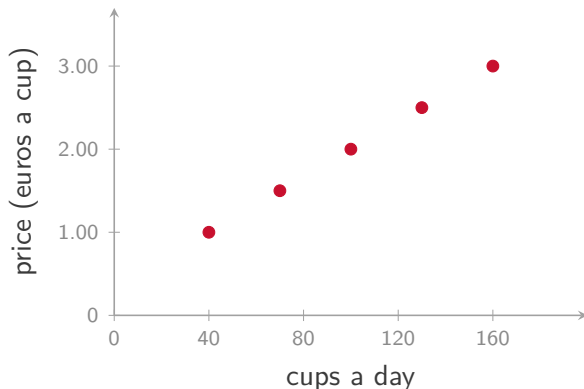
Supply

The sellers' side of the same market

Supply: at each price, how many cups Bar Nou makes

price (€ a cup)	cups a day
1.00	40
1.50	70
2.00	100
2.50	130
3.00	160

Bar Nou's supply schedule

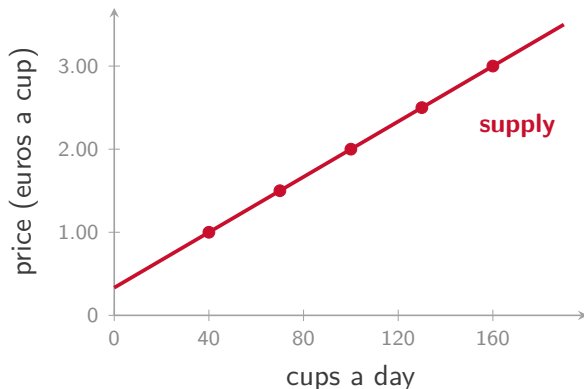


Law of supply: other things equal, the price rises, the quantity supplied rises.

Supply: at each price, how many cups Bar Nou makes

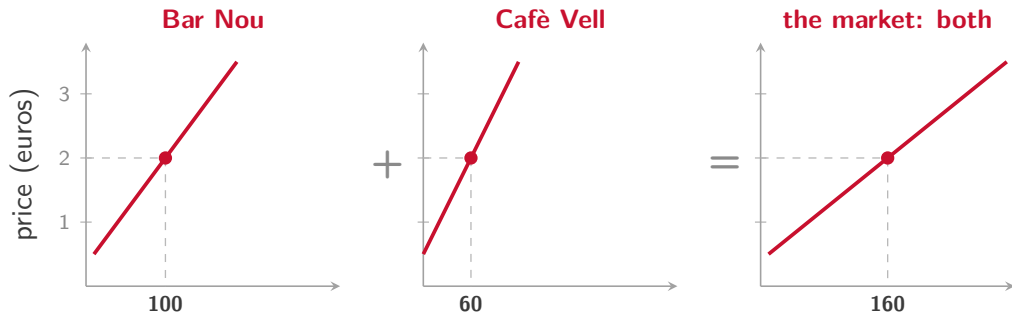
price (€ a cup)	cups a day
1.00	40
1.50	70
2.00	100
2.50	130
3.00	160

Bar Nou's supply schedule



Law of supply: other things equal, the price rises, the quantity supplied rises.

Market supply: at each price, add the sellers up



At 2 euros, Bar Nou 100 + Cafè Vell 60 = 160 a day: the sellers' curves added sideways.

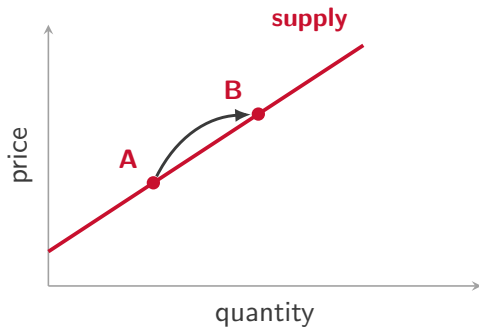
In pairs: add up the sellers

Two sellers of cups a day. Fill the last column; then the two questions.

price	Forn Gran	Bar Petit	the market
1.00	30	10	
1.50	50	20	
2.00	70	30	
2.50	90	40	

- 1 The price rises from 1.50 to 2.00 — along the curve or a shift?
- 2 Bar Petit closes — along the curve or a shift?

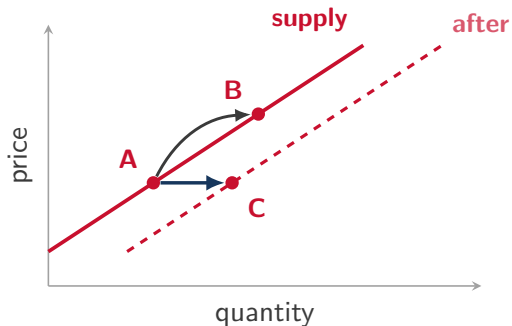
Price moves you along the supply curve. All else moves the curve.



A → B

a move along the curve:
the price changed

Price moves you along the supply curve. All else moves the curve.



A → B

a move along the curve:
the price changed

A → C

the curve moved:
something else changed

Along the curve: the **quantity supplied** changes. A shift: **supply** changes.

What moves the supply curve

- **Input prices:** beans, milk, wages, rent
- **Technology:** more cups an hour
- **Expectations** about the price
- The **number of sellers**

Right: more offered at every price. Left: less at every price.

In pairs: the street's supply of coffee — along it, or a shift?

- 1 Coffee beans double in price.
- 2 A new machine makes two cups a minute.
- 3 The price of a cup rises to 2 euros.
- 4 Three new bars open on the street.
- 5 Baristas' wages rise.

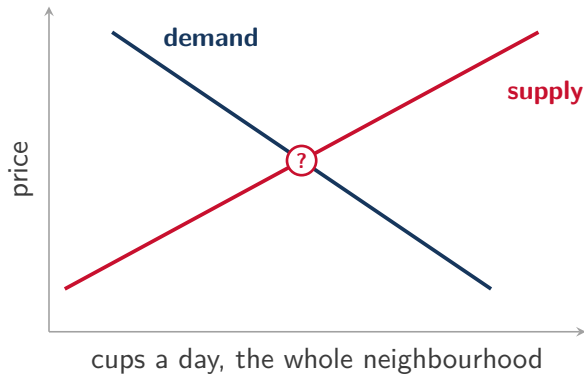
Three minutes. A move along the curve or a shift — and which way?

Two pairs of words that are not the same

what changed	on the picture	say
the price	along the curve	quantity demanded · quantity supplied
anything else	the curve shifts	demand · supply

“Demand rose” means the curve moved. “Quantity demanded rose” means the price fell.

Demand and supply on one picture: where they cross, Thursday



Thursday: what happens at the crossing — and what moves it.

**Price moves you along a curve.
Everything else moves the curve.**

Demand and supply: anything but the good's own price.
The frontier: resources and technology move it.

Before Thursday 8 October

- Read Mankiw & Taylor, Ch. 3, pp. 44–52 — supply and demand together, prices as signals, changes in equilibrium
- Practise Block 1 in Sextant: the units for Classes 2 and 3
- Project: idea meetings Thursday, right after class; your idea by e-mail the day before your slot
- Thursday 8 October — equilibrium: where the two curves meet



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